

August 2, 2017

# Second quarter 2017 earnings call



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Innovation for the Real World

# Forward-looking statements

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This presentation, as well as other statements made by Delphi Automotive PLC (the “Company”), contain forward-looking statements that reflect, when made, the Company’s current views with respect to current events, certain investments and acquisitions and financial performance. Such forward-looking statements are subject to many risks, uncertainties and factors relating to the Company’s operations and business environment, which may cause the actual results of the Company to be materially different from any future results. All statements that address future operating, financial or business performance or the Company’s strategies or expectations are forward-looking statements. Factors that could cause actual results to differ materially from these forward-looking statements are discussed under the captions “Risk Factors” and “Management’s Discussion and Analysis of Financial Condition and Results of Operations” in the Company’s filings with the Securities and Exchange Commission. New risks and uncertainties arise from time to time, and it is impossible for us to predict these events or how they may affect the Company. It should be remembered that the price of the ordinary shares and any income from them can go down as well as up. The Company disclaims any intention or obligation to update or revise any forward-looking statements, whether as a result of new information, future events and/or otherwise, except as may be required by law.

# Agenda

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## Operational and strategic overview

- Strategic update

**Kevin Clark**  
Chief Executive Officer

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## Financial overview

- Q2 2017 results
- Q3 and 2017 guidance

**Joe Massaro**  
Chief Financial Officer

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## Q&A

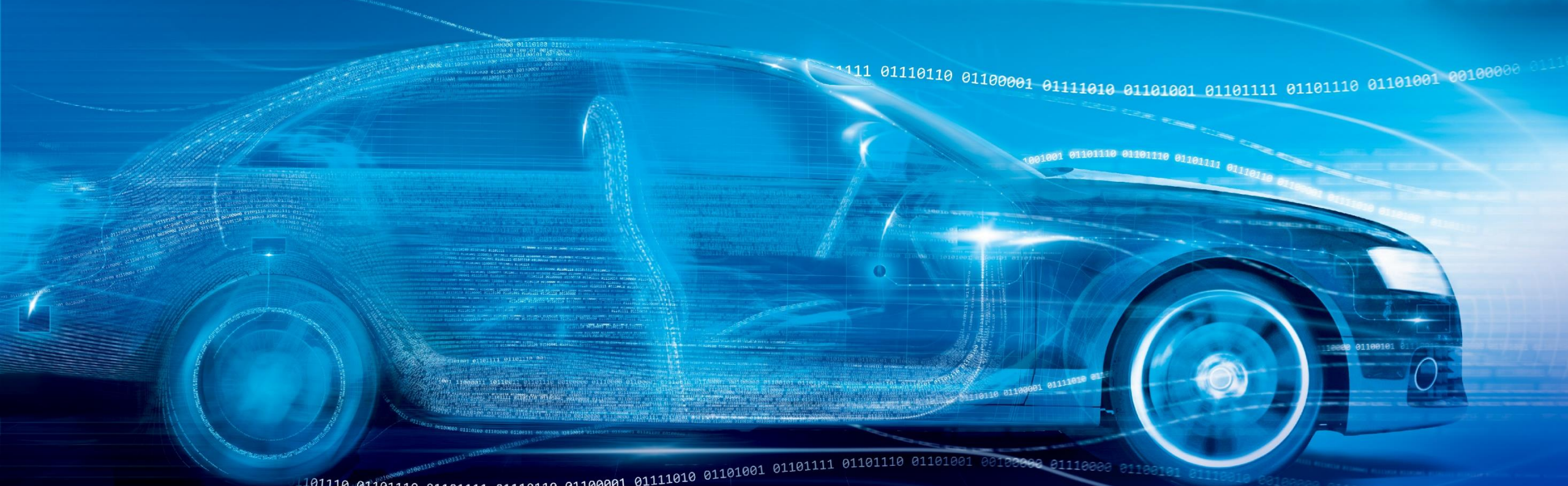
**Kevin Clark / Joe Massaro**



# Strategic overview

Kevin Clark

President and Chief Executive Officer



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# Second quarter highlights

| Revenue       |               | Operating income    |                      | Earnings per share |               |
|---------------|---------------|---------------------|----------------------|--------------------|---------------|
| <b>\$4.3B</b> | <b>\$8.6B</b> | <b>\$0.6B</b>       | <b>\$1.1B</b>        | <b>\$1.71</b>      | <b>\$3.29</b> |
| Q2 Up 5%      | YTD Up 7%     | Q2 Margins Up 20bps | YTD Margins Up 20bps | Q2 Up 13%          | YTD Up 17%    |

- Strong sales, margins and EPS growth continues; raising 2017 outlook
- Investments delivering continued growth over market and new business wins
- Key growth technologies addressing customers' toughest challenges
- Executing Powertrain Spin-off

**Momentum continues → Raising 2017 outlook**

Note: Revenue growth excludes impact of FX, commodities, and E&S divestitures;  
EPS and operating income adjusted for restructuring and other special items; see Appendix for detail and reconciliation to US GAAP. Growth excludes impact of E&S divestiture.

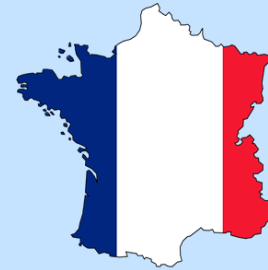
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# Recent headlines



## Betting on Electric:

"Volvo Cars....became the first mainstream automaker to sound the death knell of the internal combustion engine, saying that all the models it introduces starting in 2019 will be either hybrids or powered solely by batteries... **may be the latest sign that the era of the gas guzzler is slowly coming to an end.**" – NY Times



## Gas, Diesel vehicles banned:

**"France will stop selling petrol and diesel vehicles by 2040,** France's new Ecology Minister Nicolas Hulot said...the measures are also a response to a pollution crisis in French and European cities, caused by the proliferation of diesel-powered vehicles in recent years."  
– Time



## Nerdy over the Infotainment System:

"The GTC4Lusso is a replacement for the FF shooting brake. It not only looks different but also **adds a layer of technological advancement.** No, we are not talking about the all-wheel drive system again, but about the **infotainment system**...as good as your favorite tablet"  
– Auto Evolution



## Deep style and over-the-top technology:

"Surrounded by more ultrasonic sensors, cameras, radars and laser scanners than a second-year medical student's worst nightmare, the 2019 Audi A8 is a tour de force of interesting and revolutionary technology...**the new A8 will be the first production car to come to the U.S. fully ready for Level 3**" – KBB

**Delphi enabling industry trends**

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# Delivering growth today

## RemainCo



### Active Safety

- Revenue: 2Q up 65%, FY up 50%
- 11 major customers today, ~20 by 2020



### Infotainment & User Experience

- Revenue: 2Q up 20%, FY up 15%
- Continued ramp in new launches



### Connectors & Cable Management

- Revenue: 2Q up 7%, FY up 7%
- Strong portfolio with diversified end markets



### High Voltage Electrification

- Revenue: 2Q up 44%, FY up 45%
- High voltage cable and connectors adding content

## Powertrain



### Power Electronics

- Revenue: 2Q up 25%, FY up 25%
- Vehicle electrification accelerating



### Gas Direct Injection & Variable Valvetrain

- Revenue: 2Q up 16%, FY up 19%
- Continued market penetration



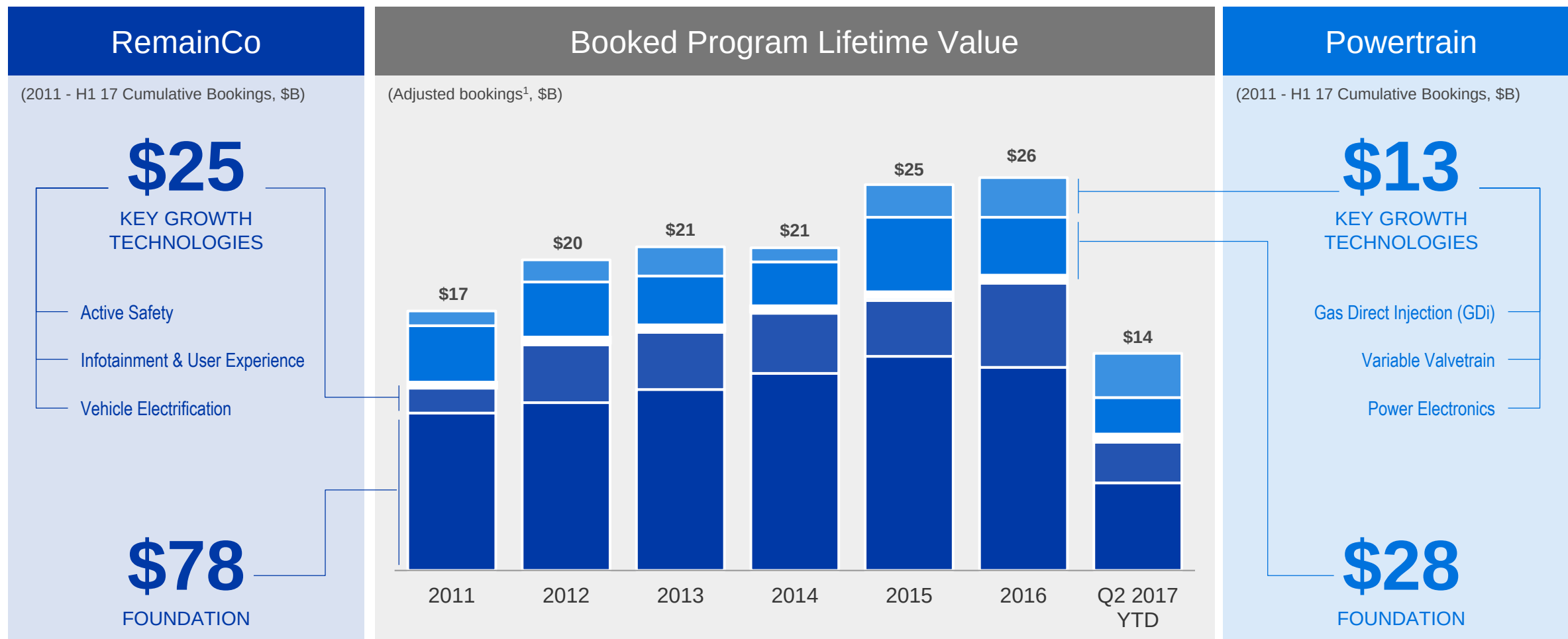
### Commercial Vehicle Diesel

- Revenue: 2Q up 22%, FY up 20%
- Continued market recovery in N. America

**Investments yielding growth today; pace continues into 2018**



# Bookings growth



Key growth technology bookings accelerating

<sup>1</sup> Adjusted for divestitures, foreign exchange, and commodities

Note: Bookings represent lifetime gross program revenues awarded, based upon expected volumes and pricing



# Winning on new platforms

EEA

High Voltage Electrification



E&S

Active Safety & ADAS

Global  
OEM



Powertrain

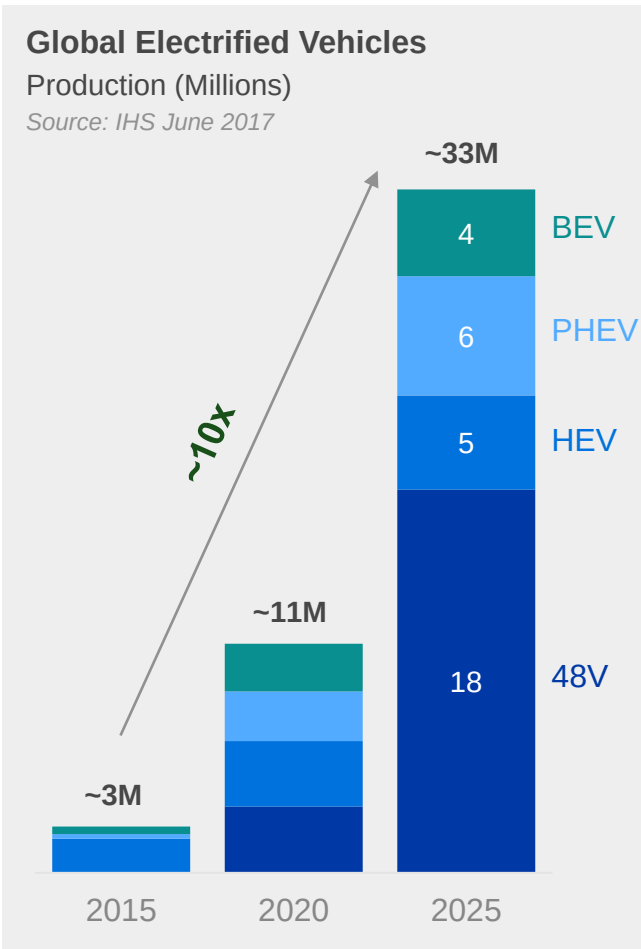
Power Electronics



**Strong wins in Active Safety and Electrification**

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# Electrification update

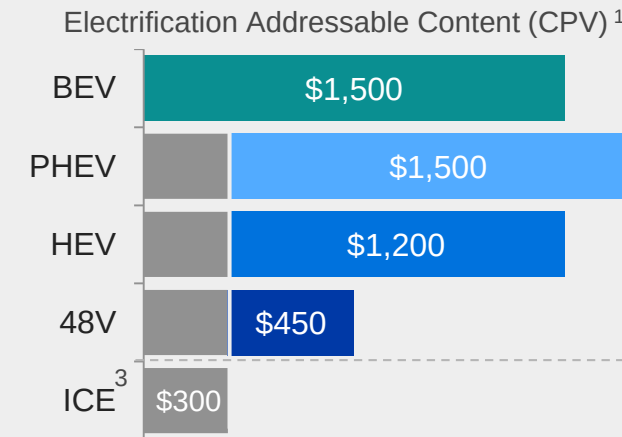
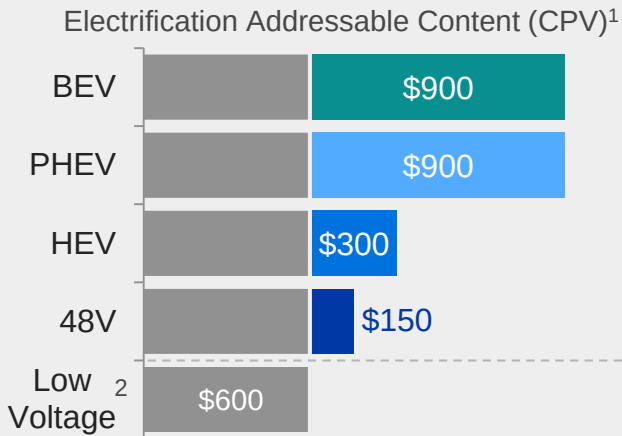


## Electrical Architecture Technologies

- 48V fusing & distribution
- High power & voltage connectors
- Charging inlets and cables
- High voltage shielded cable
- Internal battery connections
- 12V battery monitor

## Powertrain Technologies

- Supervisory controller & software
- Battery pack controller
- Inverter, DC/DC converter
- Combined inverter/converter
- 48V Driver module
- On-board charger



**Strong electrification outlook benefiting both businesses**

1 Content per vehicle multiples represent Total Addressable Market (TAM) for electrified vehicles

2. Low voltage content per vehicle based off average mid size sedan with no powertrain electrification or incremental content additions

3. ICE content per vehicle based off gasoline GDi, 2-step variable valvetrain internal combustion engine in 2023 and beyond

# China market update

Hosted six day customer automated rides in China during the Shanghai Auto show.



H1-17  
Delphi  
**8%**  
Growth Over  
Market



## Favorable content and vehicle mix

- Innovation driving content growth
- Increasing penetration of SUV/CUVs
- Greater share of luxury vehicles

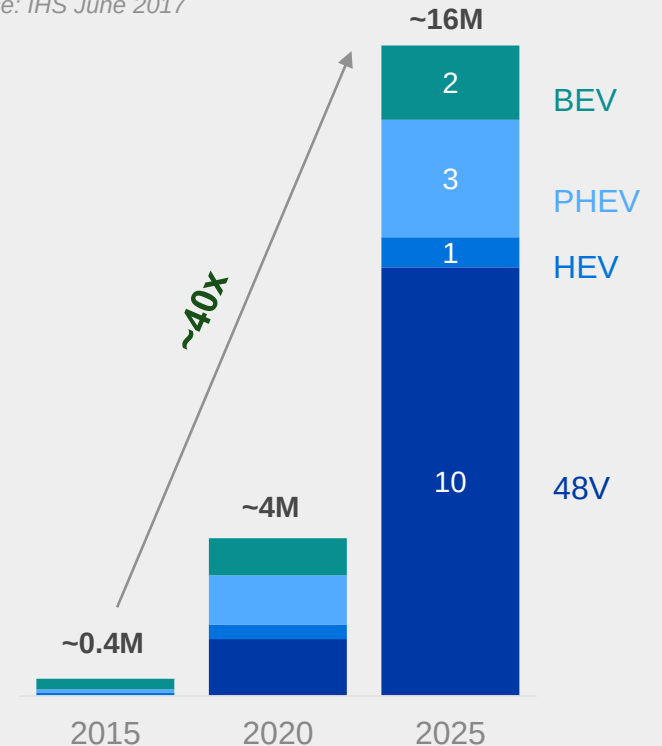
## Government standards benefiting Delphi

- Greater focus on ADAS, active safety
- New Energy Vehicle mandates
- Significant electrification wins

## China Electrification

Vehicle Production (Millions)

Source: IHS June 2017



**Delphi well positioned in fastest growing region**



# Automated Mobility on Demand (AMoD) pilots

## MOBILITY CHALLENGES

- Safe and accessible transport
- Traffic / congestion
- Infrastructure expansion
- Equitable access / affordability

## DELPHI GOALS

- Best in class AMoD platform
- Accelerate speed to market
- Vehicle integration into IoT
- Enable data analytics, solutions

### Singapore

*Trial of an urban, point-to-point, low-speed, **autonomous, mobility-on-demand** (AMoD) service in Singapore's one-north business park*



### Paris & Normandy

*First European AMoD site testing a **comprehensive driverless system**: dispatch, control-command fleet and vehicles with leading mobility provider Transdev*



### Boston

***Commercially viable** AMoD solution with fleet management and **connectivity for vehicle to infrastructure** solutions and **data analytics** enabling efficient city operations*



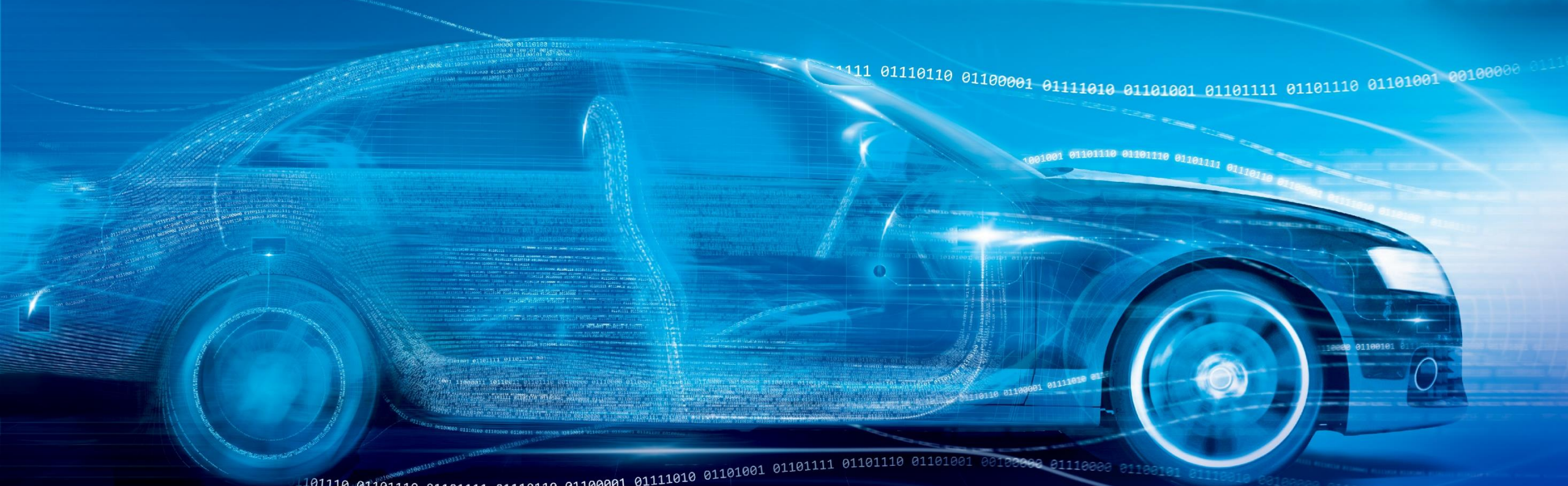
**AMoD pilots in every region; Boston the latest project**



# Financial overview

Joe Massaro

Chief Financial Officer and Senior Vice President



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# Q2 2017 vs. Q2 2016

(\$ millions, except per share amounts)

|                                                                  | Q2 2016               | Q2 2016 PF <sup>3</sup> | Q2 2017               | B/(W)                 |
|------------------------------------------------------------------|-----------------------|-------------------------|-----------------------|-----------------------|
| <b>Reported revenue</b><br><i>Adjusted Growth %<sup>1</sup></i>  | <b>\$4,206</b>        | <b>\$4,128</b>          | <b>\$4,318</b>        | <b>\$190</b><br>5%    |
| <b>EBITDA<sup>2</sup></b><br><i>EBITDA margin %</i>              | <b>\$748</b><br>17.8% | <b>\$722</b><br>17.5%   | <b>\$764</b><br>17.7% | <b>\$42</b><br>20 bps |
| <b>Operating income<sup>2</sup></b><br><i>Operating margin %</i> | <b>\$580</b><br>13.8% | <b>\$555</b><br>13.4%   | <b>\$587</b><br>13.6% | <b>\$32</b><br>20 bps |
| <b>Earnings per share<sup>2</sup></b><br><i>Growth %</i>         | <b>\$1.59</b>         | <b>\$1.52</b>           | <b>\$1.71</b>         | <b>\$0.19</b><br>13%  |
| <b>Operating cash flow</b>                                       | <b>\$575</b>          | <b>\$553</b>            | <b>\$599</b>          | <b>\$46</b>           |

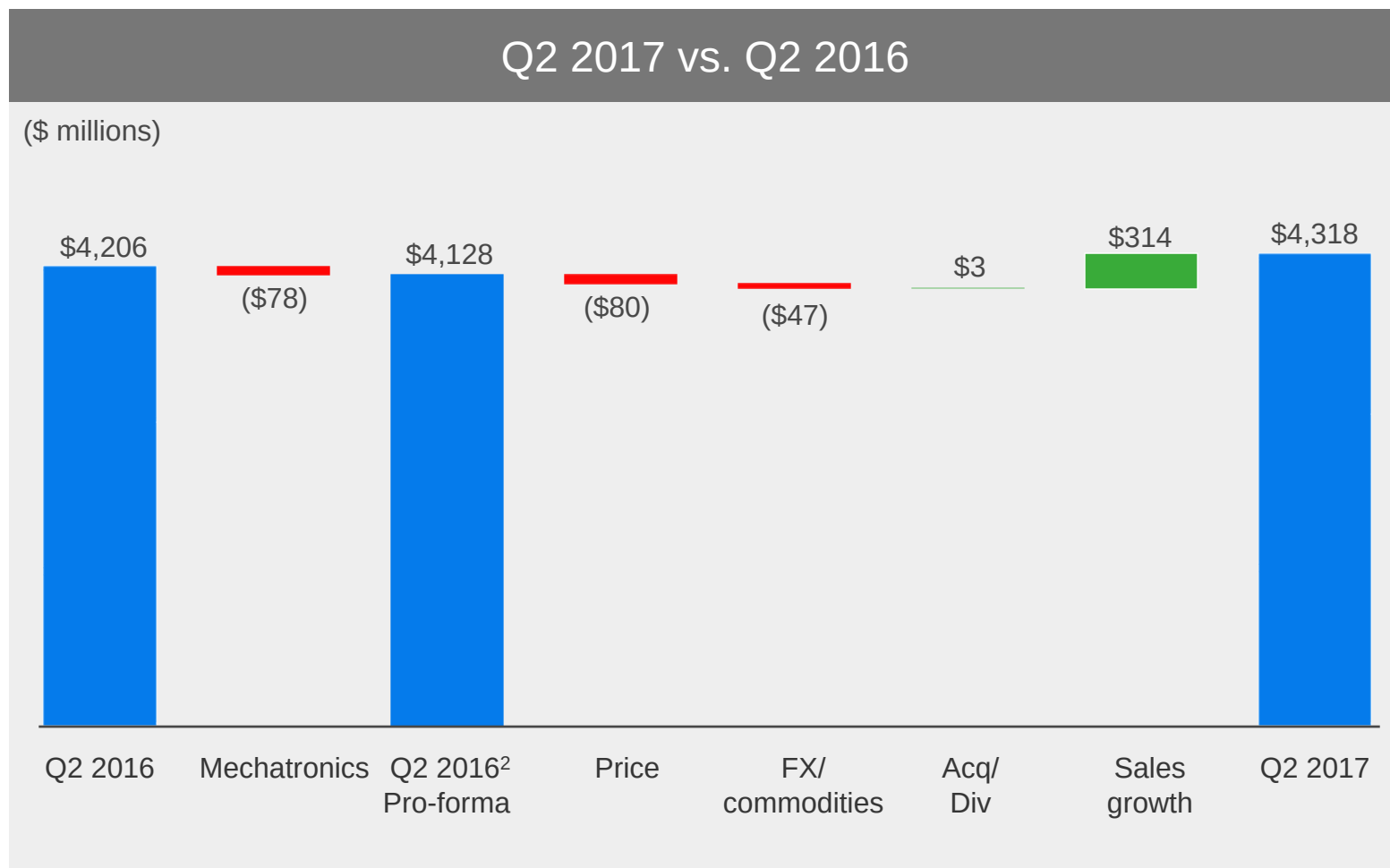
**Delivered another strong quarter**

1 At constant foreign exchange and commodity rates; excludes impact of E&S divestitures

2 Adjusted for restructuring and other special items; see appendix for detail and reconciliation to US GAAP. Q2 2016 adjusted for the adoption of the new pension accounting standard

3 Adjusted for impact of Mechatronics divestiture; see appendix for detail. Q2 2016 PF Operating cash flow adjusted for \$22M impact of Mechatronics divestiture

# Revenue growth



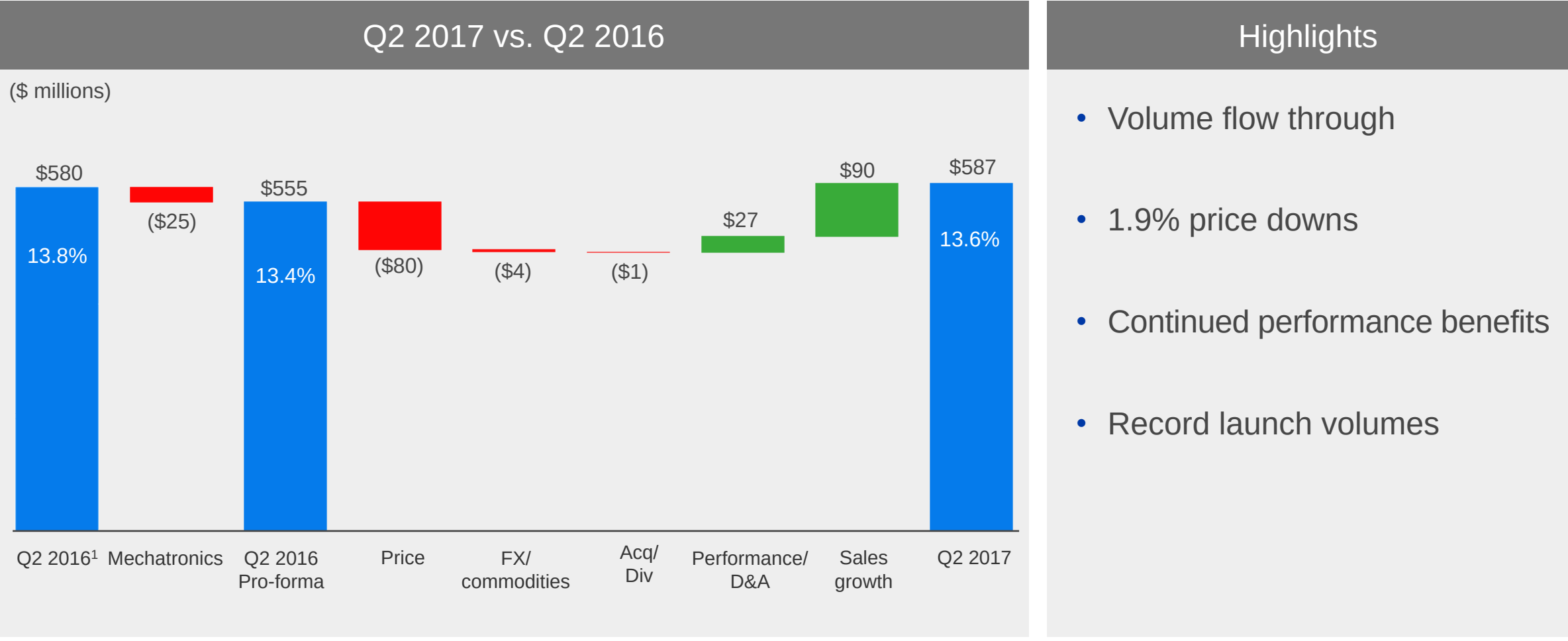
| Year-over-year growth by region |                  |                               |
|---------------------------------|------------------|-------------------------------|
|                                 | Reported Q2 2017 | Adjusted <sup>1</sup> Q2 2017 |
| Europe                          | (2%)             | 3%                            |
| N. America                      | 0%               | 0%                            |
| Asia                            | 13%              | 16%                           |
| S. America                      | 22%              | 15%                           |
| <b>Total</b>                    | <b>3%</b>        | <b>5%</b>                     |

**Organic growth outpacing market in every major region**

<sup>1</sup> Growth rates at constant foreign exchange and commodity rates; excludes impact of the E&S divestitures

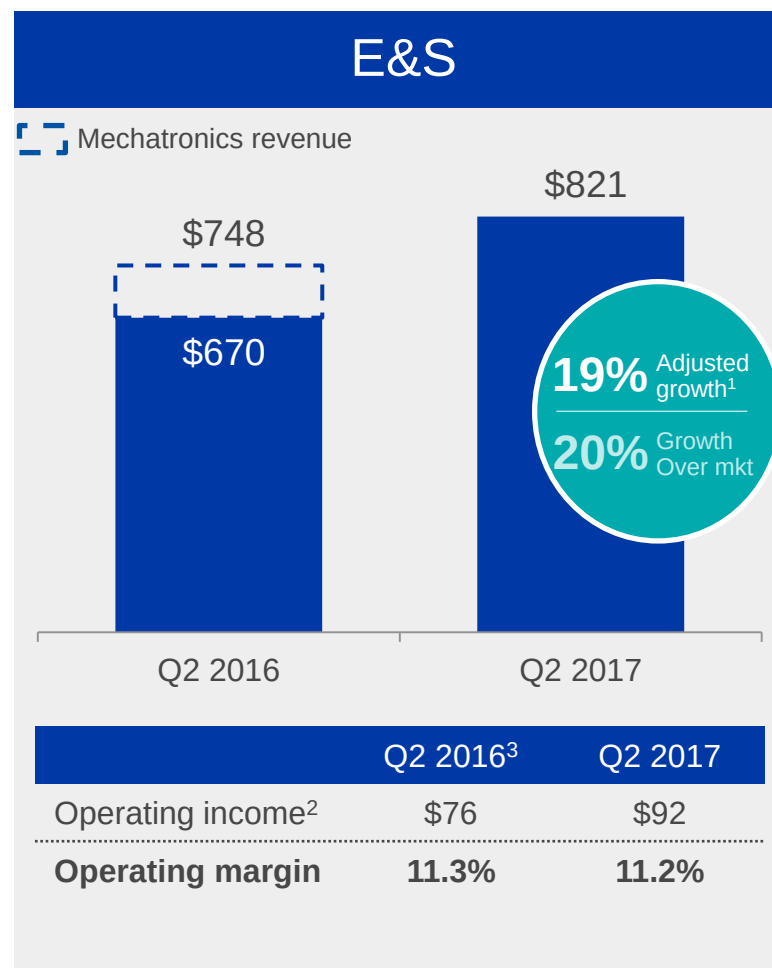
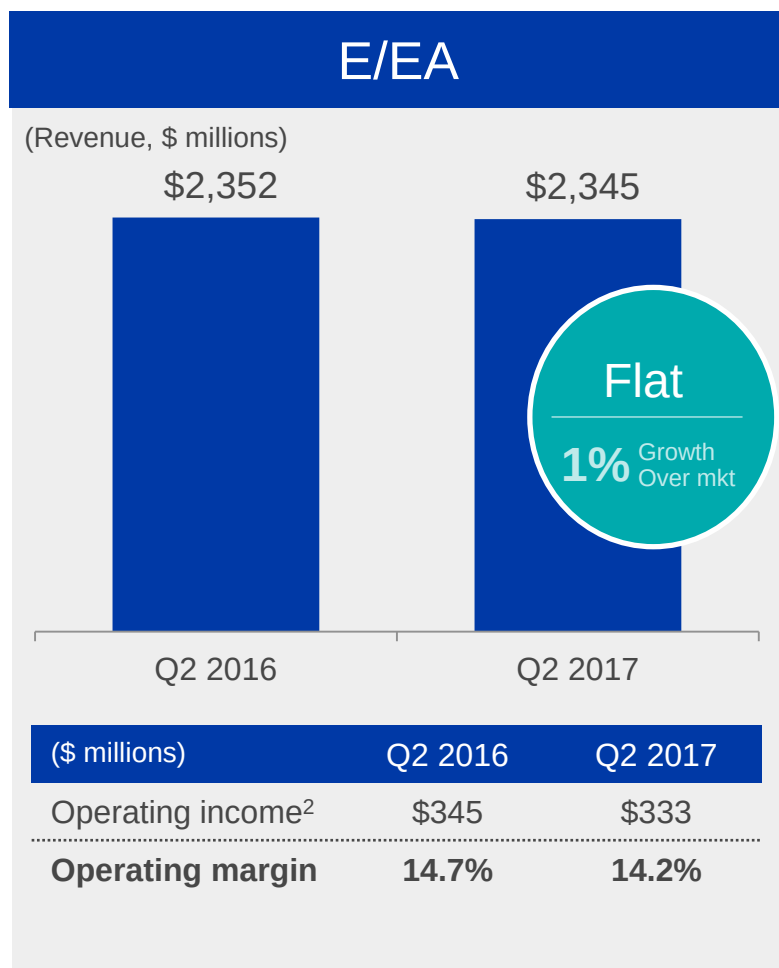
<sup>2</sup> See appendix for details

# Operating income growth





# Q2 2017 Segment financials



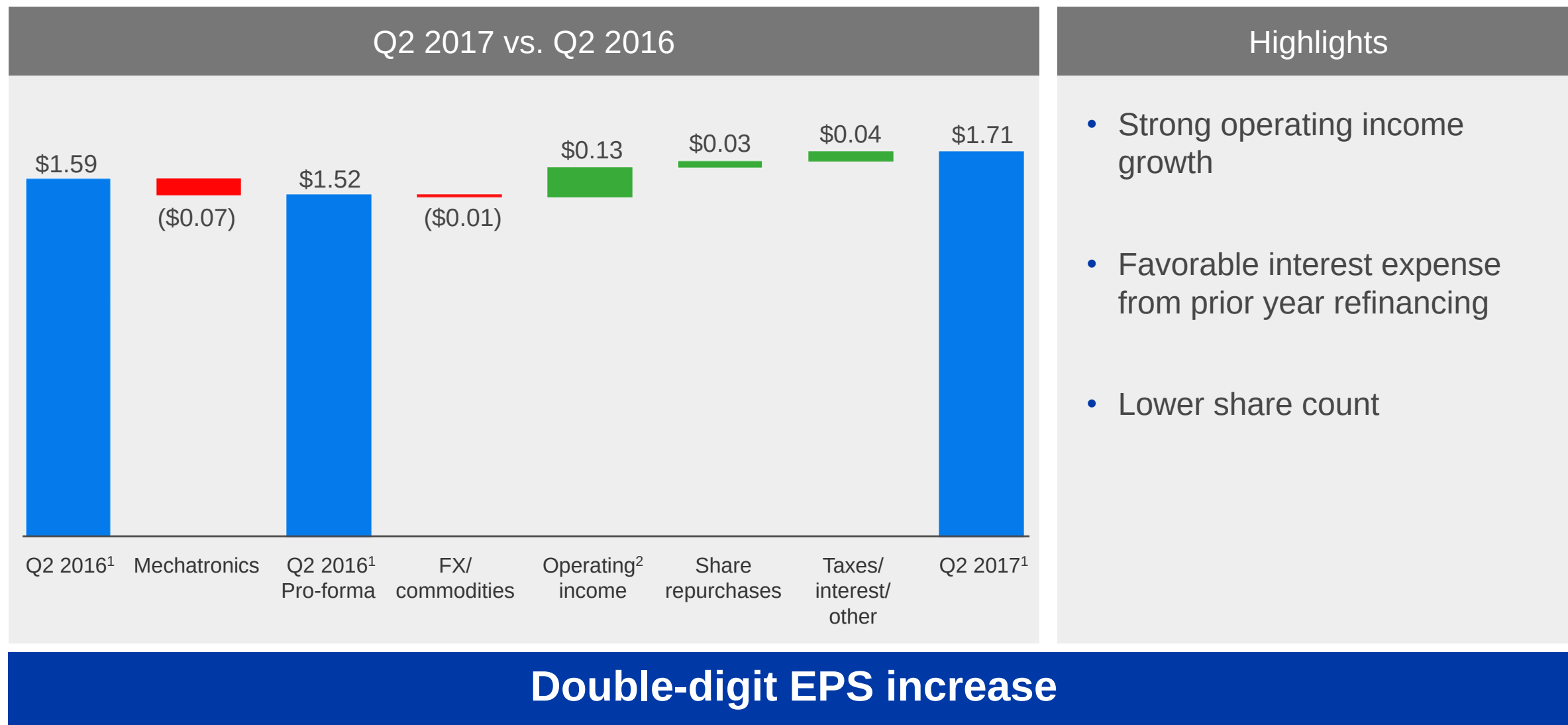
**Delivering growth over market in all segments**

1 At constant foreign exchange and commodity rates; excludes impact of the E&S divestitures

2 Adjusted for restructuring and other special items; margin calculations based on reported revenue; see appendix for detail and reconciliation to US GAAP

3 Adjusted for impact of Mechatronics divestiture

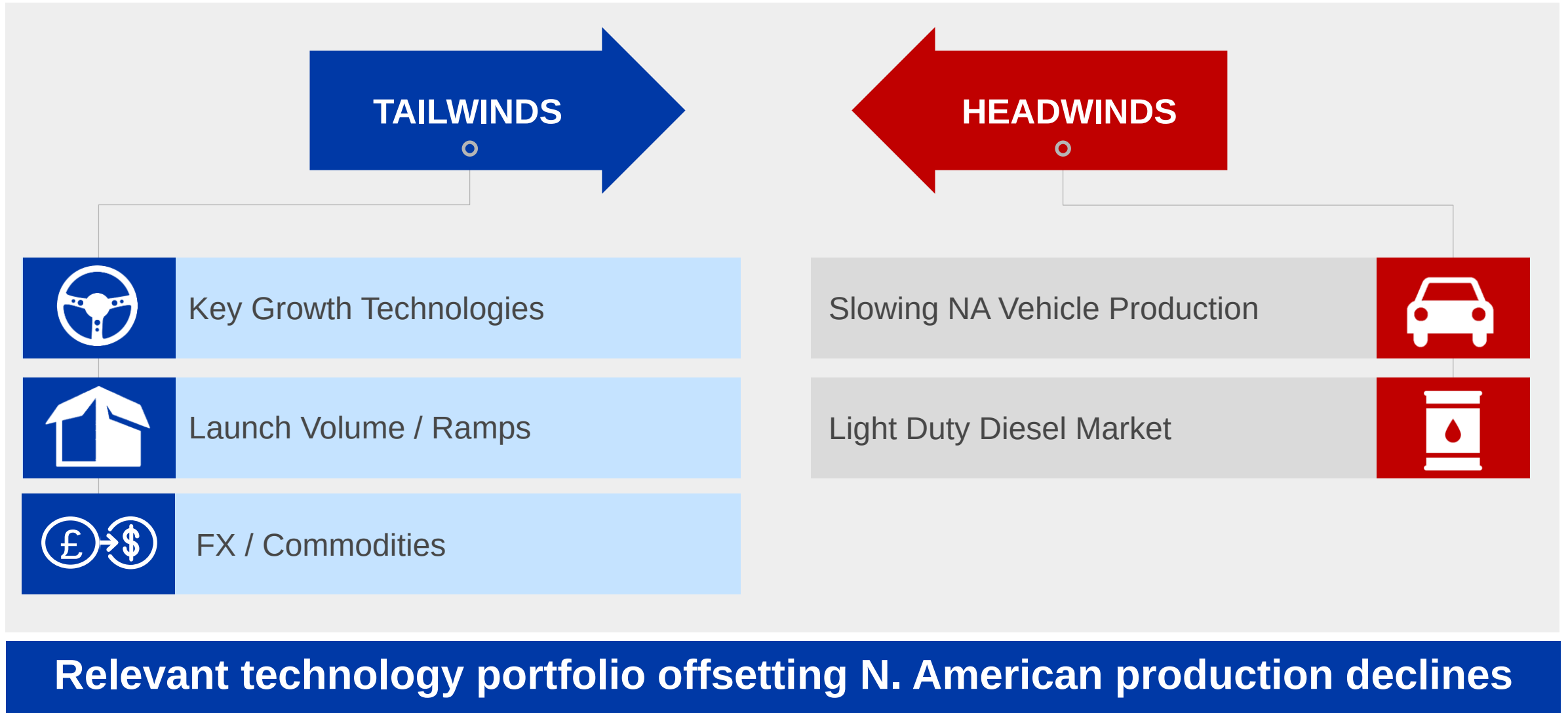
# Earnings per share



<sup>1</sup> Adjusted for restructuring and other special items; see appendix for detail and reconciliation to US GAAP

<sup>2</sup> Adjusted for restructuring and other special items and at constant foreign exchange and commodity rates; see appendix for detail and reconciliation to US GAAP

# Macro update



# 2017 guidance

(\$ millions, except per share amounts)

|                                                                | Q3 2016 pro forma <sup>1</sup> | Q3 2017 <sup>4</sup>            | 2017 <sup>4</sup>                          |
|----------------------------------------------------------------|--------------------------------|---------------------------------|--------------------------------------------|
| <b>Reported revenue</b><br><i>Adjusted growth<sup>2</sup></i>  | <b>\$4,022</b>                 | <b>\$4,000 - \$4,100</b><br>~3% | <b>\$16,850 - \$17,050</b><br>4% - 5%      |
| <b>Operating income<sup>3</sup></b><br><i>Operating margin</i> | <b>\$515</b><br>12.8%          | <b>\$520 - \$540</b><br>~13.1%  | <b>\$2,240 - \$2,300</b><br>~13.4% - 13.5% |
| <b>EPS<sup>3</sup></b><br><i>Growth</i>                        | <b>\$1.44</b>                  | <b>\$1.52 - \$1.58</b><br>~8%   | <b>\$6.55 - \$6.75</b><br>~11%             |
| <b>Tax rate<sup>3</sup></b>                                    |                                | <b>~15%</b>                     | <b>~15%</b>                                |
| <b>Operating cash flow</b><br><i>Capex</i>                     |                                |                                 | <b>\$1,850*</b><br>\$850                   |

\* Reflects ~\$310M payment for unsecured creditors settlement, paid in July 2017

## Raising full year outlook

<sup>1</sup> Pro forma data excludes the results of Mechatronics; see appendix for detail

<sup>2</sup> Average actual 2016 exchange rates; revenue growth is adjusted for FX, commodities and the Mechatronics divestiture

<sup>3</sup> Adjusted for restructuring and other special items; Q3 2017 and 2017 operating income guidance assumes the estimated impact of the adoption of the new pension accounting standard

<sup>4</sup> Refer to appendix for guidance reconciliation.



# Powertrain Spin-off update

## Update

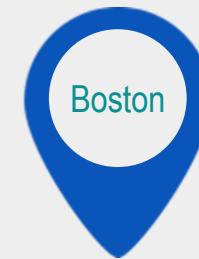
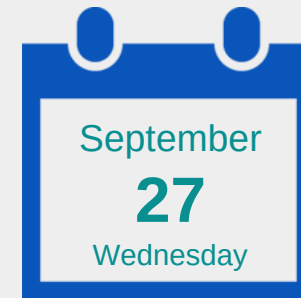
### Progress

- Filed initial Form 10 in June
- Completed rating agency reviews
- Estimated cash separation costs \$300-350M\*

### Next Steps

- Continued Form 10 progress
- Finalize capital structure and financing
- Equity road shows

## Investor Day preview



- RemainCo and Powertrain strategic overview
- Technology and innovation roadmaps
- Long-term planning framework
- Leadership and technology showcase

**Separation progressing smoothly**

\* Excluding cash taxes

# Wrap Up

## Delivering strong 2017

- Positive trends, strong new business wins continue across all business segments
- Relevant technology portfolio offsetting N. American production declines → **raised** outlook
- Expanding on industry leading margins while continuing investments for growth
- Flexible business model and cost structure enable outperformance in **any** environment

## Positioning for the future

- Spin transaction feedback overwhelmingly **positive** from customers and partners
- Reinforces industrial logic and growth outlook
- **Both** companies benefit from strong foundations, technology portfolios and leadership teams
- Upcoming September Investor Day to highlight compelling outlook for growth

**Delivering industry-leading shareholder returns**

# Making it possible.



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# Appendix



# Non-US GAAP financial metrics

| (\$ millions)                                      | Q2 2017      | Q2 2016      |
|----------------------------------------------------|--------------|--------------|
| Net income attributable to Delphi                  | \$369        | \$258        |
| Interest expense                                   | \$35         | \$41         |
| Other (income) expense, net                        | (\$8)        | \$5          |
| Income tax expense                                 | \$62         | \$84         |
| Equity income, net of tax                          | (\$7)        | (\$7)        |
| Net income attributable to noncontrolling interest | \$17         | \$13         |
| <b>Operating income</b>                            | <b>\$468</b> | <b>\$394</b> |
| Restructuring                                      | \$97         | \$154        |
| Separation costs                                   | \$15         | -            |
| Other acquisition and portfolio project costs      | \$3          | \$10         |
| Asset impairments                                  | \$4          | \$22         |
| <b>Adjusted operating income</b>                   | <b>\$587</b> | <b>\$580</b> |

# Non-US GAAP financial metrics

| (\$ millions)                                      | Q2 2017      | Q2 2016      |
|----------------------------------------------------|--------------|--------------|
| Net income attributable to Delphi                  | \$369        | \$258        |
| Interest expense                                   | \$35         | \$41         |
| Other (income) expense, net                        | (\$8)        | \$5          |
| Income tax expense                                 | \$62         | \$84         |
| Equity income, net of tax                          | (\$7)        | (\$7)        |
| Net income attributable to noncontrolling interest | \$17         | \$13         |
| <b>Operating income</b>                            | <b>\$468</b> | <b>\$394</b> |
| Depreciation and amortization                      | \$181        | \$190        |
| <b>EBITDA</b>                                      | <b>\$649</b> | <b>\$584</b> |
| Restructuring                                      | \$97         | \$154        |
| Separation costs                                   | \$15         | -            |
| Other acquisition and portfolio project costs      | \$3          | \$10         |
| <b>Adjusted EBITDA</b>                             | <b>\$764</b> | <b>\$748</b> |

# Non-US GAAP financial metrics

| (\$ millions, except per share amounts)                                        | Q2 2017       | Q2 2016       |
|--------------------------------------------------------------------------------|---------------|---------------|
| Net income attributable to Delphi                                              | \$369         | \$258         |
| Income from discontinued operations attributable to Delphi, net of tax         | -             | -             |
| <b>Income from continuing operations attributable to Delphi</b>                | <b>\$369</b>  | <b>\$258</b>  |
| Adjusting items:                                                               |               |               |
| Restructuring                                                                  | \$97          | \$154         |
| Separation costs                                                               | \$15          | -             |
| Other acquisition and portfolio project costs                                  | \$3           | \$10          |
| Asset impairments                                                              | \$4           | \$22          |
| Reserve for Unsecured Creditors litigation                                     | (\$17)        | -             |
| Tax impact of adjusting items (a)                                              | (\$14)        | (\$9)         |
| <b>Adjusted net income attributable to Delphi</b>                              | <b>\$457</b>  | <b>\$435</b>  |
| Weighted average number of diluted shares outstanding                          | 268.03        | 273.37        |
| Diluted net income per share from continuing operations attributable to Delphi | \$1.38        | \$0.94        |
| <b>Adjusted net income per share</b>                                           | <b>\$1.71</b> | <b>\$1.59</b> |

(a) Represents the income tax impacts of the adjustments made for restructuring and other special items by calculating the income tax impact of these items using the appropriate tax rate for the jurisdiction where charges were incurred.

# Shares outstanding

| (millions)                                                                     | Q2 2017       | Q2 2016       |
|--------------------------------------------------------------------------------|---------------|---------------|
| Weighted average ordinary shares outstanding, basic                            | 267.41        | 272.92        |
| Dilutive shares related to RSUs                                                | 0.62          | 0.45          |
| <b>Weighted average ordinary shares outstanding, including dilutive shares</b> | <b>268.03</b> | <b>273.37</b> |



# Financial guidance metrics

| (\$ millions)                                      | Q3 2017 <sup>1</sup> | 2017 <sup>1</sup> |
|----------------------------------------------------|----------------------|-------------------|
| Net income attributable to Delphi                  | \$351                | \$1,480           |
| Interest expense                                   | \$34                 | \$138             |
| Other expense, net                                 | -                    | \$17              |
| Income tax expense                                 | \$62                 | \$267             |
| Equity income, net of tax                          | (\$6)                | (\$30)            |
| Net income attributable to noncontrolling interest | \$15                 | \$69              |
| <b>Operating income</b>                            | <b>\$456</b>         | <b>\$1,941</b>    |
| Restructuring                                      | \$47                 | \$242             |
| Separation costs                                   | \$22                 | \$61              |
| Other acquisition and portfolio project costs      | \$5                  | \$17              |
| Asset impairments                                  | -                    | \$9               |
| <b>Adjusted operating income</b>                   | <b>\$530</b>         | <b>\$2,270</b>    |

1 Prepared at the estimated mid-point of the financial guidance range

# Financial guidance metrics

| (\$ millions, except per share amounts)               | Q3 2017 <sup>1</sup> | 2017 <sup>1</sup> |
|-------------------------------------------------------|----------------------|-------------------|
| Net income attributable to Delphi                     | \$351                | \$1,480           |
| Restructuring                                         | \$47                 | \$242             |
| Separation costs                                      | \$22                 | \$61              |
| Other acquisition and portfolio project costs         | \$5                  | \$17              |
| Asset impairments                                     | -                    | \$9               |
| Reserve for Unsecured Creditors litigation            | -                    | \$10              |
| Tax impact of adjusting items (a)                     | (\$10)               | (\$41)            |
| <b>Adjusted net income attributable to Delphi</b>     | <b>\$415</b>         | <b>\$1,778</b>    |
| Weighted average number of diluted shares outstanding | 266.97               | 267.52            |
| Diluted net income per share attributable to Delphi   | \$1.31               | \$5.53            |
| <b>Adjusted net income per share</b>                  | <b>\$1.55</b>        | <b>\$6.65</b>     |

(a) Represents the income tax impacts of the adjustments made for restructuring and other special items by calculating the income tax impact of these items using the appropriate tax rate for the jurisdiction where charges were incurred.

1 Prepared at the estimated mid-point of the financial guidance range

# Pension expense reclassification detail

| (\$ millions)                                               | Q1 2016      | Q2 2016      | Q3 2016      | Q4 2016      | 2016           |
|-------------------------------------------------------------|--------------|--------------|--------------|--------------|----------------|
| Adjusted net income attributable to Delphi                  | \$377        | \$435        | \$409        | \$498        | \$1,719        |
| Pension expense reclassification impact on operating income | \$3          | \$3          | \$3          | \$10         | \$19           |
| Pension expense reclassification impact on other income     | (\$3)        | (\$3)        | (\$3)        | (\$10)       | (\$19)         |
| <b>Adjusted net income attributable to Delphi</b>           | <b>\$377</b> | <b>\$435</b> | <b>\$409</b> | <b>\$498</b> | <b>\$1,719</b> |

# Mechatronics financial detail

(\$ millions, except per share amounts)

| Delphi – Reported                        | Q1 2016       | Q2 2016       | Q3 2016       | Q4 2016       | 2016          |
|------------------------------------------|---------------|---------------|---------------|---------------|---------------|
| Revenue                                  | \$4,051       | \$4,206       | \$4,091       | \$4,313       | \$16,661      |
| Adjusted EBITDA <sup>1</sup>             | \$674         | \$748         | \$707         | \$787         | \$2,916       |
| Adjusted operating income <sup>1,2</sup> | \$512         | \$580         | \$534         | \$616         | \$2,242       |
| Adjusted operating margin <sup>1,2</sup> | 12.6%         | 13.8%         | 13.1%         | 14.3%         | 13.5%         |
| <b>Earnings per share<sup>1</sup></b>    | <b>\$1.36</b> | <b>\$1.59</b> | <b>\$1.50</b> | <b>\$1.83</b> | <b>\$6.28</b> |

| Less Mechatronics divestiture          | Q1 2016       | Q2 2016       | Q3 2016       | Q4 2016       | 2016          |
|----------------------------------------|---------------|---------------|---------------|---------------|---------------|
| Revenue                                | \$75          | \$78          | \$69          | \$63          | \$285         |
| Adjusted EBITDA <sup>1</sup>           | \$24          | \$26          | \$20          | \$21          | \$91          |
| Adjusted operating income <sup>1</sup> | \$23          | \$25          | \$19          | \$20          | \$87          |
| <b>Earnings per share<sup>1</sup></b>  | <b>\$0.07</b> | <b>\$0.07</b> | <b>\$0.06</b> | <b>\$0.07</b> | <b>\$0.27</b> |

| Delphi – Pro forma                       | Q1 2016       | Q2 2016       | Q3 2016       | Q4 2016       | 2016          |
|------------------------------------------|---------------|---------------|---------------|---------------|---------------|
| Revenue                                  | \$3,976       | \$4,128       | \$4,022       | \$4,250       | \$16,376      |
| Adjusted EBITDA <sup>1,2</sup>           | \$650         | \$722         | \$687         | \$766         | \$2,825       |
| Adjusted operating income <sup>1,2</sup> | \$489         | \$555         | \$515         | \$596         | \$2,155       |
| Adjusted operating margin <sup>1,2</sup> | 12.3%         | 13.4%         | 12.8%         | 14.0%         | 13.2%         |
| <b>Earnings per share<sup>1</sup></b>    | <b>\$1.29</b> | <b>\$1.52</b> | <b>\$1.44</b> | <b>\$1.76</b> | <b>\$6.01</b> |

1 Adjusted for restructuring and other special items

2 Revised for the adoption of the new pension accounting standard

**DELPHI**

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